

INTERNAL AUDIT REPORT

Procurement Compliance Audit | Report No. AR-02325

Report ID:	AR-02325
Audit Type:	Procurement Compliance Audit
Report Date:	December 23, 2024
Audit Period:	2024-04-28 to 2024-12-11
Lead Auditor:	Robert Allen (EMP-11716)
Reviewed By:	Connie Walsh (EMP-35016)
Primary Vendor Reference:	DawnTech Services LLC (VND-01793)
Subject Employee Reference:	Allison Hodges (EMP-47866)
Primary Transaction Reference:	TXN-C1864477227
Overall Risk Rating:	MEDIUM

1. EXECUTIVE SUMMARY

This procurement compliance audit covered the period 2024-04-28 to 2024-12-11 and examined transactions, approvals, and compliance records associated with vendor DawnTech Services LLC (VND-01793) and employee Allison Hodges (EMP-47866). The audit identified 2 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **MEDIUM**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C1864477227 (amount 131,975.07 USD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-002877	MEDIUM	APPROVAL LIMIT	Transaction processed with approval from an officer whose delegated authority was 52% below the required threshold.
FND-003110	CRITICAL	VENDOR RISK	Payment issued to VND-VND-00342 rated LOW risk. Active contract CON-108561 in place. Enhanced due diligence not documented.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-001577	AUDIT REPORT	EVD-YEF-3630	0.57
EVI-002265	TRANSACTION RECORD	EVD-WKA-8872	0.68
EVI-004406	AUDIT REPORT	EVD-DTG-2507	0.73
EVI-005609	CONTRACT RECORD	EVD-LSX-5190	0.85
EVI-012777	DNS LOG	EVD-BVJ-2186	0.60
EVI-015440	AUDIT REPORT	EVD-TDL-7033	0.79

5. RECOMMENDATIONS

- Establish a quarterly reconciliation process between Purchase Orders and Vendor Invoices.
- Restrict post-termination system access to prevent ghost-approver scenarios.
- Escalate repeat policy violations to the Risk Committee for disciplinary review.

6. MANAGEMENT RESPONSE

Management accepts the residual risk and has documented justification on file with the Chief Risk Officer.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Robert Allen	EMP-11716	2024-12-23
Reviewing Officer	Connie Walsh	EMP-35016	2024-12-25